

INDIAN ECONOMY

LEVEL
II



LECTURES

AN OVERVIEW ABOUT THE DAIRY
SECTOR IN INDIA - Part I

MODULE - 68



MILK...THE MAINSTAY OF MARGINAL AND SMALL FARMERS!

- India is now the **World's largest Milk producer**. Over the last 60 years, India's milk production grew at a **CAGR** of around **4.5%**.
- About **77%** of milk production in India comes from **small, marginal and landless farmers**.
- Milk production, in general, provides year **long liquidity** to several marginal and small farmers.

NO MSP ... BUT FARMERS REALISE AROUND 60-70% OF CONSUMER PRICE!

- There is **no MSP** for milk, but dairy farmers in India receive around **60-70%** of the consumer price.
- This is because of the **institutionalization of nationwide milk cooperatives**, who also own the processing plants, run by world-class technocrats in some cases.



*In contrast, when the consumer in metro cities pay **Rs. 50 per kg of tomato or onions**, the farmer in the remote part of India hardly receives **Rs. 6 to 8 of that!***

IMPORTANT ASPECTS ABOUT MILK PRODUCTION



- The livestock sector contributed to 4.11% of India's GDP in 2019.
- The dairy sector claims significant share within the livestock sector, contributing to 67% of the total livestock output.
- Dairy sector output is primarily dependent on women, who constitute 71%.
- Agriculture employs rural households for around 90-120 days a year and dairying provides an alternate employment opportunity for them in the remaining days.

India has the 2nd largest cattle population in the World, after Brazil, and has robust dairy cooperative network.

WORLD RECOGNITION FOR INDIA'S COOPERATIVE MODEL!



- Food and Agriculture Organisation (FAO) of UN in 2014 established **National Milk Day** in India on **Nov 26**. This is in the honor of Padma Vibhushan Verghese Kurien, known as "**Father of India's White Revolution**" or "**the Milk Man of India**".
- Kurien's efforts helped **transform India** from a **milk deficit nation to a surplus one**, and eventually as the largest producer globally with the farmers' cooperation.





The origin for cooperatives was due to exploitation by Polson, a dairy product's firm, that dominated the business then.

THE ORIGIN OF COOPERATIVE MODEL GOES BACK TO 1946!

- On December 14, 1946, it all started with procuring 247 litres of milk a day.
- At that time, it was called Kaira District Cooperative Milk Producers Union Limited (KDCMPUL), which was established by Tribhuvandas Patel.
- Subsequently, Verghese Kurien began to work with Patel and developed Dairy cooperatives in Kheda District.



AMUL WAS BORN IN 1949!

- Verghese Kurien wanted to give **KDCMPUL**, a unique name. He even asked farmers for suggestions.
- After consultations with farmers and employees, it was named **AMUL** in **1949**.
- By the end of **1960**, **Amul** had become a **well known brand** in Gujarat.
- In 1964, Prime Minister Lal Bahadur Shastri, impressed with Kurien's work, asked him to **replicate the Amul model** across the country.
- Under the leadership of Kurien, the Central Government established the **National Dairy Development Board (NDDB)** in 1965.

SUBSEQUENTLY, NDDB LAUNCHED "OPERATION FLOOD" IN 1970

- At the time of establishment of **NDDB** in **1965**, India's **milk demand** exceeded supply. India depended heavily on **imported milk** to fulfill domestic demand.
- To overcome this problem, NDDB launched the "**Operation Flood**" under Kurien's leadership in 1970 to expand dairy cooperative network throughout the country, based on **AMUL Model**.
- As a result of these efforts, India has the **largest Dairy cooperative network**, and is now the largest Milk producer globally.

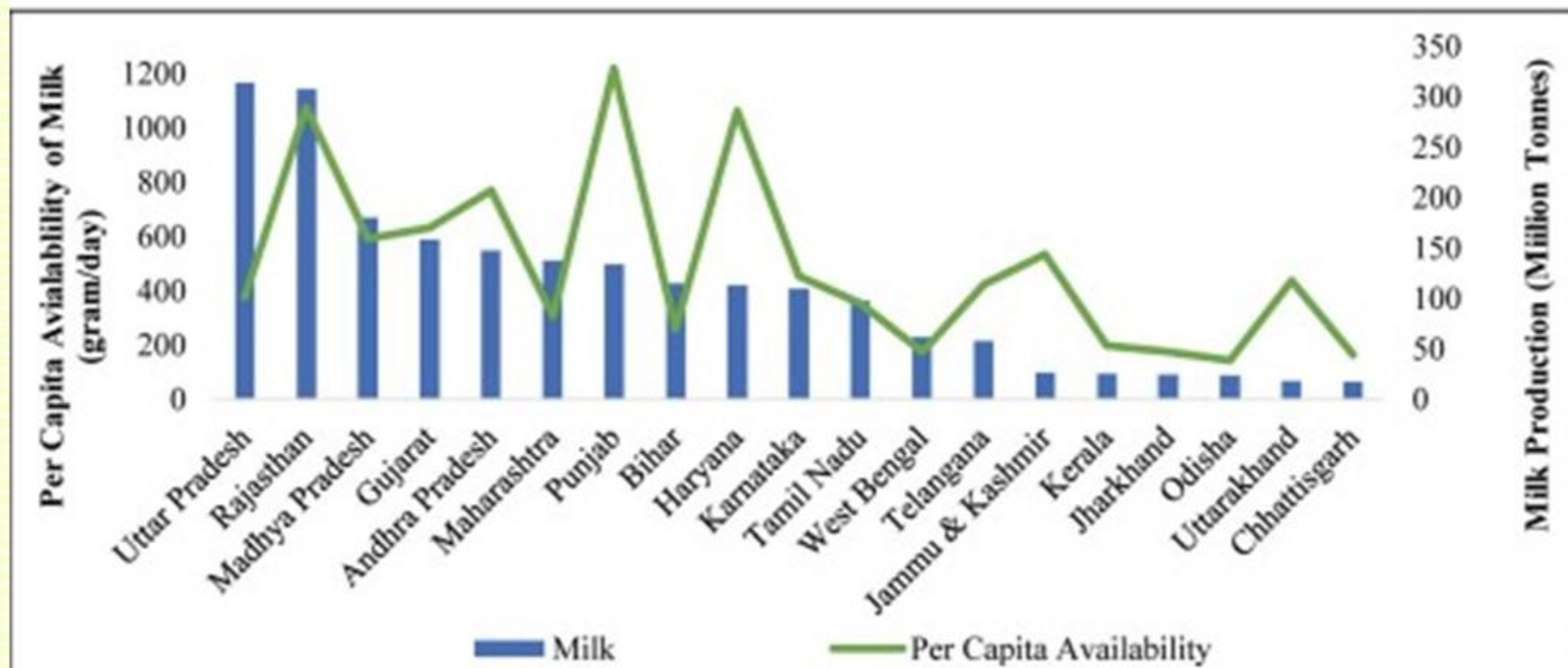


NDDB
DAIRY
SERVICES



HUGE INTER-STATE VARIATIONS IN PER CAPITA MILK AVAILABILITY!

Figure 22: Inter-State Variability in Milk Production (in million tonnes) & Per Capita Availability of Milk (gram per day) during the Year (2020-21*).



- Nine States produced 77% of milk in India.
- In several States, the per capita availability of milk is below the national average.
- Dairy promotion among small and landless farmers in these states is an absolute necessity to increase milk availability as this will also help reduce the nutrition related problems among rural households.

WHAT ABOUT THE ROLE OF ORGANISED PRIVATE SECTOR IN MILK PRODUCTION AND PROCESSING?



- The doors for private sector were opened partially with 1991 reforms, and fully in 2002-03, when Atal Bihari Vajpayee was the Prime Minister when the Dairy sector was completely de-licenced.
- Subsequently, milk production recorded a growth rate of 4.7% between FY 2004 and FY 2014, which increased to 6% between FY 2015 and FY 2021.

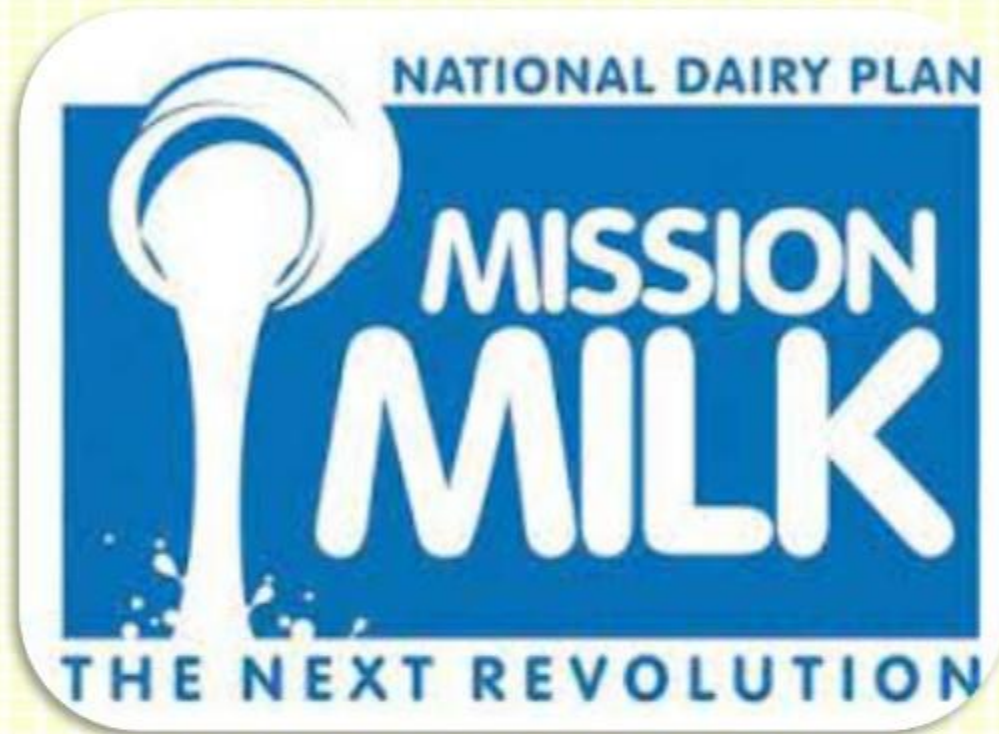
Hatsun Agro Products (HAP) based in Tamil Nadu is one of the largest private sector dairy companies in India, with milk procurement of 32 LLPD, with about 20 processing plants.

SEVERAL DAIRYPRENEURS HAVE ALSO CROPPED UP IN RECENT YEARS!



- 1 Several start-ups entered this space. Country Delight is one such company that delivers fresh milk at the consumer's doorstep and gives quality testing kits at home.
- 2 Stellapps Technologies digitized cattle health, milk production, milk procurement, milk testing and cold chain management through the Internet of Things (IoT), and Sensor-based SmartMoo Cloud.
- 3 Hydro Greens, an agri-tech start-up, provides solutions to the green fodder deficit through their 'Kambala', a hydroponic green fodder unit.

NATIONAL DAIRY PLAN-1 OR MISSION MILK



- NDP was planned with a 15 year horizon and has two phases. Phase-1 of National Dairy Plan (NDP-1), referred as 'Mission Milk' was implemented in 18 major dairying states by the National Dairy Development Board (NDDB) during 2011-12 to 2018-19.
- The objective is to enhance the animal productivity. It helped the country to maintain its self-sufficiency in Milk production in the post - Operation Flood arena.

GENETIC MERIT BULL PRODUCTION

- A nation wide high genetic merit bull production program was launched to enhance the quality of frozen semen doses.
- Semen production infrastructure was strengthened along with bio-security measures.



RATION BALANCING PROGRAMME

- Another critical component is to ensure balanced feed for dairy animals through a Ration Balancing Programme (RBP).
- It is to demonstrate the benefits of feeding a balanced ration to about 29 lakh animals in 33,374 Villages covered under RBP.
- It led to about 12% reduction in feed cost and increase in farmers' incomes.
- It resulted in Methane emissions reduction from dairy animals by 13%.

BULK MILK COOLERS

- 4,100 bulk milk coolers were established. It resulted in better milk quality.
- More than 29,000 automatic milk collection centers were set up to ensure milk quality and fairness and transparency in milk production.



THREE MAJOR OUTCOMES OF NDP - I**INCREASE IN MILK PRODUCTION**

Milk production per animal increased from a baseline of 5.03 litres per day in 2012 to 6.09 litres per day in 2019

INCREASE OF THE ORGANISED SECTOR SHARE

Share of milk sold to the organised sector went up from 45% in 2012 to 75% in 2019

INCREASE IN PRODUCER COMPANIES

The producer companies have increased substantially subsequent to the launch of NDP-I.



The proportion of total milk sold to total production was 66%.

NATIONAL DAIRY PLAN-II IS GOING TO START FROM 1st APRIL, 2023



THE WORLD BANK



- The NDP-II is going to start in April, 2023 with an expected outlay of Rs. 1,500 crore.
- The major objective is to support cooperative dairying in unexplored/less explored States like Odisha, Jharkhand and parts of northeast.
- In addition to forming dairy cooperatives in new areas, there will be focus on enabling testing equipment
- The World Bank's support will be in the form of grant and the plan's coverage area will be restricted to a few states, where the dairy potential is still untapped or less explored.

PASHU AADHAAR IS ANOTHER INITIATIVE OF NDDDB



- Pashu Aadhaar, also known as the Information Network for Animal Productivity and Health (INAPH), is being developed by the National Dairy Development Board (NDDDB).
- If implemented successfully, INAPH will be the world's largest database of animals.
- INAPH will assign a Unique Identification Number (UID) to each animal.
- The first phase of the project is expected to cover 94 million productive "in milk" female cows and buffaloes.
- Animals that get the Pashu Aadhaar will be provided with an ear tag that contains its own 12-digit UID.
- It is to ensure national level digitisation of animal health and traceability of milk produced.

ANIMAL HUSBANDRY INFRASTRUCTURE DEVELOPMENT FUND (AHIDF) AND DAIRY PROCESSING AND INFRASTRUCTURE DEVELOPMENT FUND (DIDF)

- 1 AHIDF has been initiated to incentivise investments by the private sector for establishing dairy and meat processing, and value addition infrastructure.
- 2 Investments with the help of AHIDF in modernising meat processing facilities will result in increased profits for livestock farmers and increased availability of quality meat for consumers.

- 3 The Centre is also incentivising the dairy cooperative investments under Dairy Processing and Infrastructure Development Fund (DIDF).



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